tazdan

01 · OVERVIEW

Investor memorandum

Tazdan is a money app built for Libya. Wallets, payments, messaging, currency exchange, savings, cross-border transfers and business payouts run in one Arabic and English app, with the controls of a regulated institution built in. This memorandum summarises the business, where it stands and the proposed investment.

Investor pack	Date	Status
Document 01	October 2026	Confidential · for discussion

Prepared by the founder of Tazdan for prospective investors. This document is not an offer to sell or a solicitation to buy securities. Forecasts are planning estimates, not promises. Licences, banking partners and live payment rails are not yet in place; status labels throughout show what is built, what awaits a partner, and what is switched off in production.

AT A GLANCE

A complete money platform for Libya, built and ready for its partners

Moving money in Libya is harder than it should be. Cash runs short, branches are slow, exchange rates are hard to see, and sending money abroad is costly and uncertain. Tazdan does these jobs in one app. The software is built and tested; what remains is the licence route, a partner bank and payout partners, which the investment funds.

$18M	40%	$10M	$8M
Proposed investment	Investor ownership after closing	New capital for the company	Purchase of existing founder shares

The product

82 mobile screens in Arabic and English, a 32-page staff Control Cockpit, 400+ API endpoints and 370 passing server tests. 20 of the 29 features in the demo video work today without an outside partner.

The business

Two engines. Consumers pay a small, visible margin on conversion and transfers. Banks and payment providers license Tazdan's operations software. Base-case revenue reaches $3.35M in year 5, and $11.13M in the growth case.

The plan

Libya first: a controlled pilot, then Tripoli, Benghazi and Misrata, with an aggressive street-level growth playbook. Then one bankable international corridor, then more. Regional expansion from year 4.

Why now

- **The rules are being written.** In 2026 the Central Bank of Libya published circulars on outward transfers through exchange companies (6/2026) and banks (14/2026), and on margins for FX sales (8/2026). A ready, controlled platform can move as soon as its route is confirmed.
- **The flows are large.** Libyan banks reported $2.68 billion of foreign-currency transfers and $6.51 billion for personal purposes in the first nine months of 2026.
- **The hard part is done.** Rebuilding this platform would take an estimated 72–122 engineer-months, or 12 to 18 months for a full team.

THE PROBLEM

Money in Libya is hard to hold, move and convert

Cash is scarce

Branch queues and withdrawal limits make cash slow to get. Payments between people still depend on physical notes.

Exchange rates are hard to see

People compare informal quotes by word of mouth and rarely know the full cost of a conversion before they commit.

Sending money abroad is costly and uncertain

Families paying for study, treatment or support abroad face slow channels, unclear fees and little tracking.

Banks are not built for phones

Everyday customers, small shops and employers lack a simple digital way to pay, get paid and keep records.

The scale of formal flows

CENTRAL BANK OF LIBYA, FOREIGN-EXCHANGE USE, JAN–SEP 2026	USD EQUIVALENT
Total bank foreign-exchange use	$19,341,501,336
Documentary letters of credit	$10,113,469,233
Personal purposes	$6,507,616,299
Transfers	$2,681,416,804

Official actuals (printed page 2 of the CBL report to end of September 2026). Context only: no market share or customer counts are inferred. Tazdan's forecast is built bottom-up; the base case reaches $277M of annual transfer volume in year 5.

Who Tazdan serves

People and families

Everyday payments, savings goals such as Hajj, and money for family abroad.

Shops, freelancers and employers

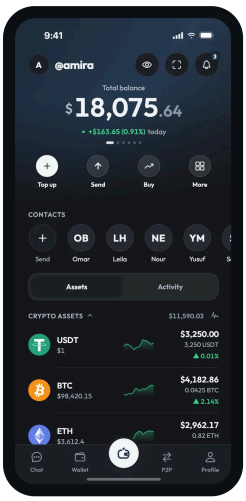
Free QR and @handle payments, bulk payroll with approvals, statements and an API.

Banks and payment providers

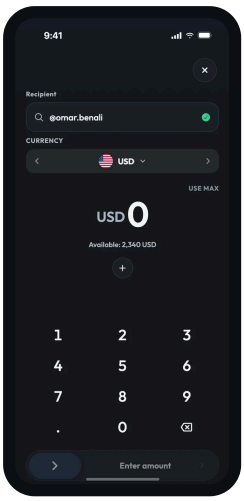
Reconciliation, exceptions, treasury visibility and approvals as licensed software.

THE PRODUCT

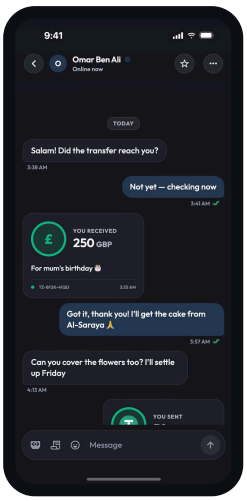
One app, eight jobs, with controls built in



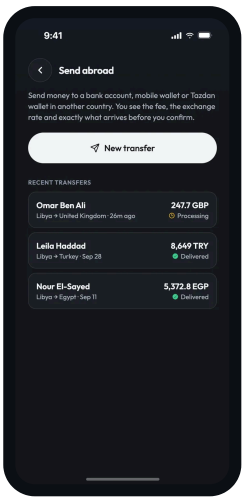
Home and balances



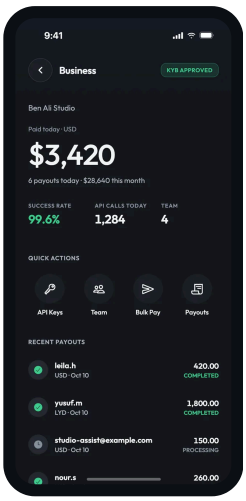
Send to anyone



Pay inside a chat



Send abroad



Business accounts

AREA	WHAT IT DOES	STATUS
Everyday money	Home and balances · Top up · Send to anyone · Receive by handle or QR · Claim links · Activity and receipts · Statements	Mixed
Social payments	Messaging · Pay inside a chat	Built
FX and markets	Currency exchange · Buy digital assets · Asset detail · Portfolio · Recurring buys	Mixed
Cross-border	Send abroad · Withdrawals · Linked banks and cards · Cards	Awaits partner
Savings and community	Savings goals · P2P marketplace · Referrals	Mixed
Trust and security	Identity verification · Security centre · Privacy mode	Built
Business	Business accounts · Team and roles · Payout approvals · API keys and webhooks	Built
Arabic	Full Arabic, right to left	Built
Control Cockpit (web)	Customer 360, KYC and withdrawal queues, maker-checker approvals, kill switches, remittance centre, treasury, reconciliation, compliance cases, fraud graph, audit log	Built

See the 3½-minute demo video and the Feature Coverage Index in folder 06. Feature status in detail: 20 built, 5 awaiting a partner, 4 switched off in production until their conditions are met.

BUSINESS MODEL

Consumers bring volume; institutions bring margin

Consumer

Payments between users, claim links and receiving are free, which is how the network spreads. Revenue comes when money changes currency or crosses a border: a 0.10% fee plus an FX margin of up to 0.35%, shown before the customer confirms. That is 0.45% all-in, inside a provisional 0.50% guardrail.

Software

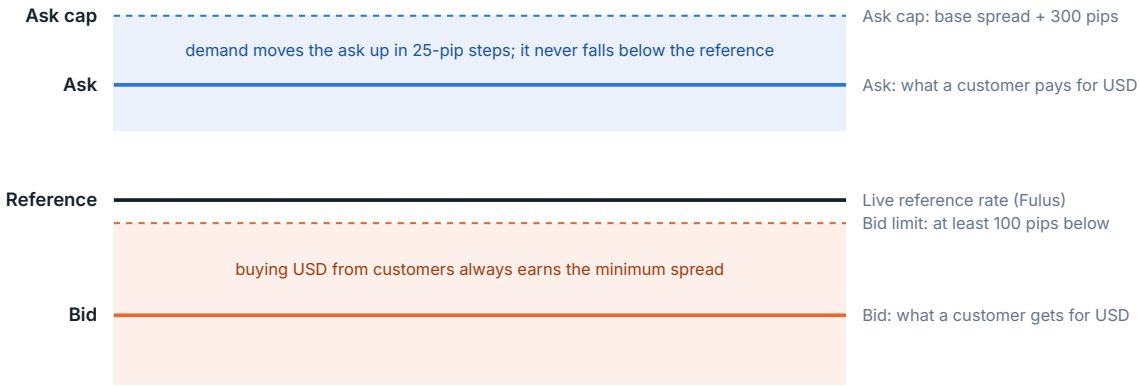
Payment-operations software for banks and payment providers: a $25,000 pilot, a $75,000 rollout and $120,000 a year per deployment. In the base case, subscriptions are 55% of year-5 revenue.

Unit economics (base case)

Contribution per active customer per month	$1.43
Cost to acquire a settled customer	$30
Indicative lifetime contribution	$41
First-year billings per software customer	$220,000

Each extra 0.10% of approved consumer margin adds about $0.25M to base-case revenue in year 5.

The FX engine



Every LYD price comes from one two-sided engine around a live reference rate. The ask never falls below the reference, upward moves are capped, stale data widens or halts quotes, and settings change only through an approved, audited request.

GO TO MARKET

Win the street, then the corridor

Libyans trust what a friend, a shopkeeper or a colleague shows them. Tazdan's playbook puts crews where people already queue, signs up shops street by street, and relies on an app where every payment is an invitation. Spend only counts when it produces a verified customer with a settled transaction.

FRONT	PLAYS
Streets	Queue crews outside banks and markets; pop-up rate desks; 20 campus ambassadors; clean-wash QR stencils
Shops	300 merchants in 90 days with free QR stands; phone-shop alliance; payroll wedge (one employer brings 20 to 200 users); driver fleets
Phones	Claim links by default; @handle land-grab before launch; city and campus referral sprints; opt-in Rate Watch channel
Moments	Eid money by link; Ramadan nights; Hajj and Umrah savings goals; wedding gifts; five-a-side football

3,784
Active customers by month 12 (base)

10,419
Active customers by month 24 (base)

$18k
Monthly acquisition budget, year 1

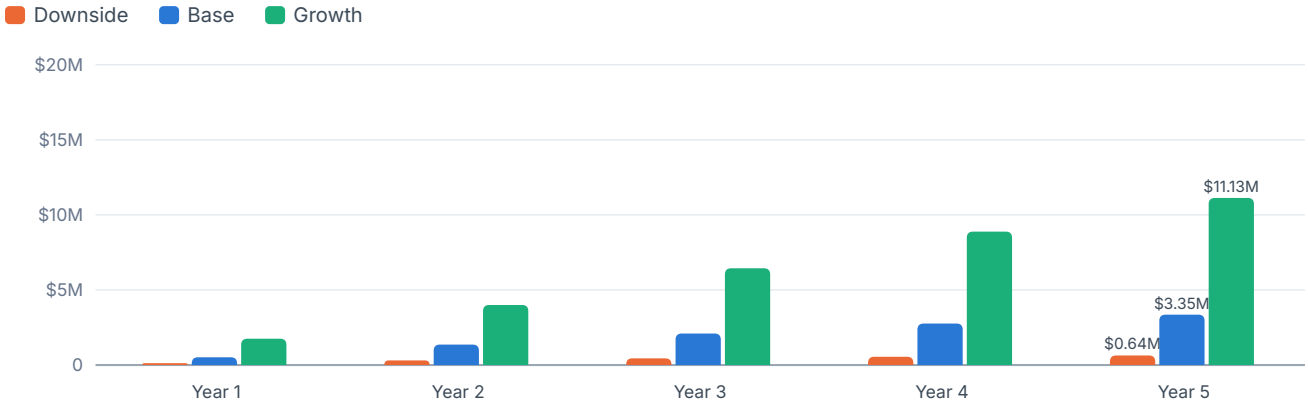
$30
Target cost per settled customer

Aggressive in reach, strict in claims. No bots, spam, fake reviews or unlicensed features in advertising. Every financial claim is approved by a named compliance reviewer, and rewards pay out only after verification and a settled transaction. Full detail in the Guerrilla Growth Playbook (folder 05).

FINANCIAL OUTLOOK

Five years, three cases

Total company revenue by case, USD



CASE	REVENUE Y1	REVENUE Y3	REVENUE Y5	OP. RESULT Y5	CUSTOMERS Y5	FUNDING GAP
Downside	$0.13M	$0.45M	$0.64M	($0.69M)	5,309	None
Base	$0.52M	$2.10M	$3.35M	Breakeven	25,626	None
Growth	$1.75M	$6.44M	$11.13M	$4.24M	70,339	$5.90M

Where the $10 million goes (base)

About $2.1M funds operating losses and setup over five years. Up to $6.2M sits in payout pools as settlement prefunding: working capital that stays on the balance sheet. $1M is held as a collateral reserve.

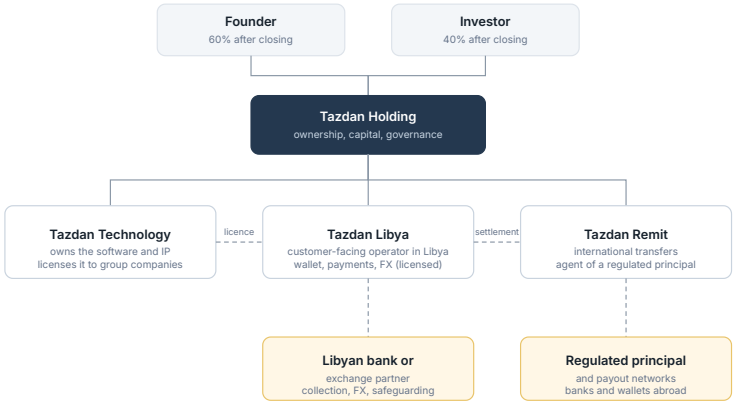
What the growth case needs

Faster volume means larger payout pools. By year 5 the growth case needs about $5.9M more liquidity, best supplied by a settlement credit line, while it earns $4.2M of operating profit that year.

Planning estimates, not promises. No pricing approval, provider contract or customer behaviour has yet been observed. Full model: folder 04.

STRUCTURE AND TRANSACTION

Four companies and a clear proposal



Solid lines: ownership. Dashed lines: contracts. Amber boxes: outside partners to be signed. No entity has been formed yet; the holding-company jurisdiction will be chosen with counsel once receiving banks have reviewed the ownership and funding route.

PROPOSED TERM	VALUE
Total investment	$18M
New shares issued by the company (primary)	$10M · 22.2%
Existing shares bought from the founder (secondary)	$8M · 17.8%
Investor ownership after closing / founder	40% / 60%
Implied post-money / pre-money equity value	$45M / $35M
Board of the holding company (proposed)	2 founder · 2 investor · 1 independent

The founder's proposed opening terms; non-binding and subject to diligence, documentation and receiving-bank review of the investing parties and funds. Primary and secondary shares priced the same. The cap table will be rebuilt on the actual share register.

READINESS AND RISK

What stands between today and launch

Done

- Full consumer, business and staff platform, in Arabic and English
- Double-entry ledger enforced by the database, with exact conservation checks
- Risk engine, sanctions screening, maker-checker approvals, kill switches
- 370 server tests passing against a real database; 58 migrations rehearsed on a clean database
- A release process that refuses to launch without nine signed evidence gates

To do (funded by this round)

- Licence route or authorised partner; a partner bank with safeguarded accounts
- Payout partners for the first corridor; FX pricing approval
- External penetration test, restore drill and physical-device testing
- An opening reconciliation that explains a previously reported test-balance difference of about 2,444 USDT
- Key hires: compliance officer, operations lead, second senior engineer

MAIN RISK	MITIGATION
Licensing delayed or refused	Launch under an authorised partner; software revenue does not depend on Tazdan's own licence
Bank acceptance of the model or the shareholders	Transparent ownership; receiving-bank review before closing; several banks approached in parallel
One-way FX flows and liquidity	Own prefunding, then a settlement facility; quote halts when pools run low
Key-person dependence	Phase-0 hires, extensive documentation and the IP assigned to the group at closing

Next steps

1. Confidential meeting and live product demonstration on fictional data.
2. Investor onboarding: investing entity, beneficial owners, source of funds, receiving-bank review.
3. A written indication of terms, then diligence with source-code access under NDA and a term sheet.